increased commercial banking facilities, which are so urgently needed, and to assist in fostering, among the people as a whole, the habit of banking and investment.'[20] The charter of the bank would have to be radically altered and it 'would thus be precluded from undertaking a great many tasks which it now successfully performs as a commercial bank.'[21]

The Commission observed that the banking organization which India required was to be based, 'not upon a Central Bank alone as elsewhere, but upon a Central Bank *and* a great commercial bank which has government countenance to inspire confidence in it amongst an uninstructed public, and whatever Government assistance is needed to enable it to perform the function of the initiator of banking facilities.'[22] Such a central bank for India was to be an enormous step forward in the development of India's financial and monetary machinery and was intended, as was observed by Sir Basil Blackett in the Legislative Assembly, 'to assist that gradual silent revolution in India's economic life which promises to bring higher opportunities of life and higher standard of living to everyone in the country.'[23]

The Commission presented a detailed and comprehensive scheme for the institution of a central bank which was proposed to be called the Reserve Bank of India. It covered more than one-third of the full report. The Commission made detailed recommendations on the set-up of the Reserve Bank, including how it would be managed. It was to be a shareholders' bank with a paid-up capital of ₹5 crores. The bank was to have Local Head Offices in the chief business centres, which were to be managed by Local Boards, elected by the shareholders on the respective registers. Nine members on the Central Board were to be elected by the shareholders while the Governor General was to nominate five which included a Managing Governor, Deputy Managing Governor, and a maximum of three other members. An official member was to be nominated but without a right to vote. Members of the Legislature and members of the Governor General's council were to be debarred from being nominated as members of the Central Board or appointed as President or Vice-President of a Local Board. Other details included those on the Board and management, remittance operations, note issue[24] and reserve requirements,[25] relations of the bank with the Government of India and the Secretary of State, and the business of the bank.